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Re: Enforce and Protect Act (“EAPA”) Consol. Case Number 7890; *Certain Oil Country Tubular Goods From the People’s Republic of China: Amended Final Affirmative Countervailing Duty Determination and Countervailing Duty Order*, 75 Fed. Reg. 3,203 (Dep’t of Commerce Jan. 20, 2010); *Certain Oil Country Tubular Goods From the People’s Republic of China: Amended Final Determination of Sales at Less Than Fair Value and Antidumping Duty Order*, 75 Fed. Reg. 28,551 (Dep’t of Commerce May 21, 2010); 19 U.S.C. § 1517

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Dear Counsel:

This is in response to the request for *de novo* administrative review of a determination of evasion dated February 24, 2025, made by the Trade Remedy Law Enforcement Directorate (“TRLED”), Office of Trade (“OT”), U.S. Customs and Border Protection (“CBP”), pursuant to 19 U.S.C. § 1517(c), EAPA Consol. Case Number 7890 (“February 24 Determination”).¹ CBP, OT, Regulations and Rulings (“RR”) received the following six administrative review requests pursuant to 19 U.S.C. § 1517(f) and 19 C.F.R. § 165.41(a): (1) Vorys, Sater, Seymour and Pease LLP on behalf of Trek Metals Inc. (“Trek Metals”) on April 4, 2025; (2) Greenberg Traurig, LLP on behalf of Centric Pipe, LLC (“Centric Pipe”) on April 7, 2025; (3) Jeansonne & Remondet on behalf of Energy Pipe & Equipment Rentals, LLC (“Energy Pipe”) on April 7, 2025; (4) ArentFox Schiff on behalf of Kana Energy Services, Inc. (“Kana”) on April 7, 2025; (5) Grunfeld Desiderio Lebowitz Silverman & Klestadt LLP on behalf of LE Commodities LLC (“LE Commodities”) on April 7, 2025; and (6) Grunfeld Desiderio Lebowitz Silverman & Klestadt LLP on behalf of TSPGA LLC (“TSPGA”) on April 7, 2025.² On April 23, 2025, Schagrin Associates filed a response to the administrative review requests on behalf of the U.S. OCTG Manufacturers Association (“USOMA” or “Alleger”).

I. Background

Unless otherwise discussed, based on our review of the administrative record, we agree with the recitation of facts as set forth by the February 24 Determination. As such, we will not repeat the entire factual history herein.

On January 18, 2024 and February 1, 2024, the USOMA, a trade association of domestic producers of oil country tubular goods (“OCTG”), filed EAPA allegations against 10 importers of OCTG: (1) Nexgen Metals, Inc. (“Nexgen Metals”);³ (2) Centric Pipe; (3) Copley; (4) Energy Pipe; (5) Kana; (6) Optima Steel International LLC (“Optima”);⁴ (7) LE Commodities; (8) Longfellow; (9) Trek Metals; and (10) TSPGA (collectively, the “Importers”). The USOMA alleged that the Importers imported Chinese-origin OCTG that were transshipped through

¹ See Notice of Determination as to Evasion, EAPA Consol. Case 7890 (Feb. 24, 2025) (Public Version), *available at* <https://www.cbp.gov/document/publications/eapa-cons-case-7890-various-importers-notice-determination-evasion-february> (last accessed June 10, 2025).

² As detailed below, the February 24 Determination also pertained to Amek Aluminum & Stainless, Inc. (“Amek”), Copley International Group Co. Ltd. (“Copley”), Lixin Energy Group HK Co. Limited (“Lixin Energy”), and Longfellow Energy LP (“Longfellow”). TRLED found substantial evidence of evasion for Amek, Copley, Lixin Energy, and Longfellow. *See generally* February 24 Determination (Public Version). Amek, Copley, Lixin Energy, and Longfellow did not file requests for administrative review.

³ While this allegation lists Nexgen Metals, Amek is the importer of record subject to this EAPA investigation. *See* Memorandum to File, Initiation of Investigation for EAPA 7890–7898 and 7954 (Feb. 23, 2024) (Public Version), at 6 n.59, 9. [description of business relationship]. *See* Amek RFI Response (Jul. 12, 2024) (Business Confidential Version), at 7, 16.

⁴ While this allegation lists Optima, Copley and Lixin Energy are the importers of record subject to this EAPA investigation. *See* Memorandum to File, Initiation of Investigation for EAPA 7890–7898 and 7954 (Public Version), at 5–6. Optima acts as the ultimate consignee for Copley’s and Lixin Energy’s entries of OCTG. *See* Initiation of Investigation for EAPA 7890–7898 and 7954 (Consolidated Case 7890) (Feb. 23, 2024) (“Notice of Initiation”) (Public Version), at 5, 6, 12, *available at* <https://www.cbp.gov/document/publications/eapa-case-7890-various-importers-notice-initiation-investigation-and-interim> (last accessed June 10, 2025).

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Thailand.⁵ CBP acknowledged receipt of the allegations on February 1, 2024. On February 23, 2024, TRLED initiated a formal investigation under Title IV, Section 421 of the Trade Facilitation and Trade Enforcement Act of 2015 (“TFTEA”), in response to the allegations of evasion.⁶

The USOMA alleged that the Importers were importing OCTG from the People’s Republic of China (“China”) into the United States that had been transshipped through Thailand by Petroleum Equipment (Thailand) Co., Ltd. (“PET”) and Thai Oil Pipe Co., Ltd. (“TOP”).⁷ The USOMA further alleged that the Importers entered OCTG into the United States without declaring the goods as OCTG from China, which are subject to antidumping and countervailing duty orders under Case Nos. A-570-943 and C-570-944 (the “AD/CVD Orders”).⁸ As a result, it was alleged that the Importers evaded the payment of antidumping and countervailing duties on these imports.⁹

The allegation of evasion pertained to the AD/CVD Orders issued by the U.S. Department of Commerce (“Commerce”) on imports of OCTG from China. Commerce defined the scope of the AD/CVD Orders as follows:

The scope of this order consists of certain oil country tubular goods (“OCTG”), which are hollow steel products of circular cross-section, including oil well casing and tubing, of iron (other than cast iron) or steel (both carbon and alloy), whether seamless or welded, regardless of end finish (*e.g.*, whether or not plain end, threaded, or threaded and coupled) whether or not conforming to American Petroleum Institute (“API”) or non-API specifications, whether finished (including limited service OCTG products) or unfinished (including green tubes and limited service OCTG products), whether or not thread protectors are attached. The scope of the order also covers OCTG coupling stock. Excluded from the scope of the

⁵ See February 24 Determination (Public Version), at 3 (summarizing the allegations).

⁶ See Notice of Initiation (Public Version).

⁷ See Oil Country Tubular Goods from China: Request for an Investigation under the Enforce and Protect Act of Centric Pipe LLC (Jan. 18, 2024) (Public Version); Oil Country Tubular Goods from China: Request for an Investigation under the Enforce and Protect Act of LE Commodities, LLC (Jan. 18, 2024) (Public Version); Oil Country Tubular Goods from China: Request for an Investigation under the Enforce and Protect Act of Nexgen Metals, Inc. (Jan. 18, 2024) (Public Version); Oil Country Tubular Goods from China: Request for an Investigation under the Enforce and Protect Act of TSPGA LLC (Jan. 18, 2024) (Public Version); Oil Country Tubular Goods from China: Request for an Investigation under the Enforce and Protect Act of Energy Pipe and Equipment Rentals (Jan. 18, 2024) (Public Version); Oil Country Tubular Goods from China: Request for an Investigation under the Enforce and Protect Act of Kana Energy Services, Inc. (Jan. 18, 2024) (Public Version); Oil Country Tubular Goods from China: Request for an Investigation under the Enforce and Protect Act of Longfellow Energy, LP (Jan. 18, 2024) (Public Version); Oil Country Tubular Goods from China: Request for an Investigation under the Enforce and Protect Act of Optima Steel International LLC (Jan. 18, 2024) (Public Version); Oil Country Tubular Goods from China: Request for an Investigation under the Enforce and Protect Act of Trek Metals Inc. (Jan. 18, 2024) (Public Version); Oil Country Tubular Goods from China: Request for an Investigation under the Enforce and Protect Act of Copley International Group, Ltd. (Feb. 1, 2024) (Public Version) (collectively, “the USOMA’s Allegations”).

⁸ See *Certain Oil Country Tubular Goods from the People’s Republic of China: Amended Final Affirmative Countervailing Duty Determination and Countervailing Duty Order*, 75 Fed. Reg. 3,203–04 (Jan. 20, 2010); *Certain Oil Country Tubular Goods from the People’s Republic of China: Amended Final Determination of Sales at Less Than Fair Value and Antidumping Duty Order*, 75 Fed. Reg. 28,551, 28,553 (May 21, 2010).

⁹ See generally USOMA’s Allegations.

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order are: casing or tubing containing 10.5 percent or more by weight of chromium; drill pipe; unattached couplings; and unattached thread protectors.

The merchandise subject to this order is currently classified in the Harmonized Tariff Schedule of the United States (“HTSUS”) under item numbers: 7304.29.10.10, 7304.29.10.20, 7304.29.10.30, 7304.29.10.40, 7304.29.10.50, 7304.29.10.60, 7304.29.10.80, 7304.29.20.10, 7304.29.20.20, 7304.29.20.30, 7304.29.20.40, 7304.29.20.50, 7304.29.20.60, 7304.29.20.80, 7304.29.31.10, 7304.29.31.20, 7304.29.31.30, 7304.29.31.40, 7304.29.31.50, 7304.29.31.60, 7304.29.31.80, 7304.29.41.10, 7304.29.41.20, 7304.29.41.30, 7304.29.41.40, 7304.29.41.50, 7304.29.41.60, 7304.29.41.80, 7304.29.50.15, 7304.29.50.30, 7304.29.50.45, 7304.29.50.60, 7304.29.50.75, 7304.29.61.15, 7304.29.61.30, 7304.29.61.45, 7304.29.61.60, 7304.29.61.75, 7305.20.20.00, 7305.20.40.00, 7305.20.60.00, 7305.20.80.00, 7306.29.10.30, 7306.29.10.90, 7306.29.20.00, 7306.29.31.00, 7306.29.41.00, 7306.29.60.10, 7306.29.60.50, 7306.29.81.10, and 7306.29.81.50.

The OCTG coupling stock covered by the order may also enter under the following HTSUS item numbers: 7304.39.00.24, 7304.39.00.28, 7304.39.00.32, 7304.39.00.36, 7304.39.00.40, 7304.39.00.44, 7304.39.00.48, 7304.39.00.52, 7304.39.00.56, 7304.39.00.62, 7304.39.00.68, 7304.39.00.72, 7304.39.00.76, 7304.39.00.80, 7304.59.60.00, 7304.59.80.15, 7304.59.80.20, 7304.59.80.25, 7304.59.80.30, 7304.59.80.35, 7304.59.80.40, 7304.59.80.45, 7304.59.80.50, 7304.59.80.55, 7304.59.80.60, 7304.59.80.65, 7304.59.80.70, and 7304.59.80.80.

The HTSUS subheadings are provided for convenience and customs purposes only. The written description of the scope of this order is dispositive.¹⁰

On March 6 and 7, 2024, TRLED issued CBP Form CF-28 (“CF-28”) Requests for Information to each of the Importers on certain entries of OCTG, requesting production documentation including manufacturer information, raw material documentation, mill certificates, purchase orders, commercial invoices, transportation documentation, and proof of payment.¹¹ Copley, Energy Pipe, Kana, Lixin Energy, Longfellow, and Trek Metals provided responses regarding OCTG manufactured by TOP; however, only Trek Metals provided all of the requested information.¹² Amek, Centric Pipe, LE Commodities, and TSPGA provided CF-28

¹⁰ 75 Fed. Reg. at 3,203–04; 75 Fed. Reg. at 28,553.

¹¹ See Notice of Initiation (Public Version), at 11.

¹² See *id.* at 12–14 (discussing the documents submitted in response to the CF-28s).

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responses for entries of OCTG manufactured by PET; however, none of these CF-28 responses provided all of the information requested by CBP.¹³

On May 31, 2024, in accordance with 19 C.F.R. § 165.24, CBP issued a Notice of Initiation of Investigation and Interim Measures (“NOI”) to all parties to the investigation.¹⁴ The NOI stated that the investigation had begun on February 1, 2024, and notified the parties of CBP’s decision to take interim measures based upon reasonable suspicion that the Importers had entered covered merchandise into the customs territory of the United States through evasion.¹⁵ The entries subject to the investigation are those unliquidated entries of covered merchandise entered from February 1, 2023 through the pendency of the investigation (hereinafter, the period of investigation or “POI”).¹⁶

TRLED issued Request for Information (“RFI”) questionnaires to the Importers, PET, and TOP on May 31, August 16, August 23, and August 26, 2024.¹⁷ Copley and Lixin Energy did not respond to the initial RFI questionnaires.¹⁸ On August 16, August 23, and August 26, 2024, TRLED issued Supplemental RFI questionnaires to Amek, Centric Pipe, Energy Pipe, TSPGA, Kana, LE Commodities, PET, and TOP.¹⁹ TRLED conducted on-site verifications at PET’s facility in Thailand from October 28, 2024 to November 1, 2024, and at TOP’s facility in Thailand from November 4, 2024 to November 8, 2024.²⁰

On February 24, 2025, TRLED found that there was substantial evidence that the Importers imported OCTG from China into the United States by undervaluation, misclassification, and transshipment through Thailand by evasion.²¹ Additionally, TRLED applied adverse inferences to TOP, PET, Copley, Lixin Energy, Kana, Longfellow, and TSPGA, finding that each company failed to cooperate and comply to the best of its ability with CBP’s requests for information.²²

Between April 4, 2025 and April 7, 2025, Centric Pipe, Energy Pipe, Kana, LE Commodities, TSPGA, and Trek Metals each timely submitted requests for administrative

¹³ See *id.* at 17–24 (same).

¹⁴ See Notice of Initiation (Public Version), at 2. TRLED consolidated the EAPA investigations of the Importers into a single investigation (EAPA Consol. Case No. 7890). See Memorandum to File, Initiation of Investigation for EAPA 7890–7898 and 7954 (Public Version), at 11.

¹⁵ See Notice of Initiation (Public Version), at 2.

¹⁶ See *id.*

¹⁷ See February 24 Determination (Public Version), at 5 n.18 (listing the initial RFIs sent by TRLED).

¹⁸ See *id.* at 5.

¹⁹ See EAPA 7890 – Request for Information from Petroleum Equipment (Thailand), Ltd. (Aug. 16, 2024) (Public Version); EAPA 7890 – Request for Information from Thai Oil Pipe Co., Ltd. (Aug. 16, 2024) (Public Version); EAPA 7890 – Request for Information from Amek Aluminum & Stainless, Inc. (Aug. 23, 2024) (Public Version); EAPA 7890 – Request for Information from Centric Pipe LLC (Aug. 23, 2024) (Public Version); EAPA 7890 – Request for Information from Energy Pipe and Equipment Rentals LLC (Aug. 23, 2024) (Public Version); EAPA 7890 – Request for Information from TSPGA LLC (Aug. 23, 2024) (Public Version); EAPA 7890 – Request for Information from Kana Energy Services Inc. (Aug. 26, 2024) (Public Version); EAPA 7890 – Request for Information from LE Commodities (Aug. 26, 2024) (Public Version); EAPA 7890 – Request for Information from Trek Metals, Inc. (Aug. 26, 2024) (Public Version).

²⁰ See February 24 Determination (Public Version), at 6.

²¹ See *id.* at 2, 66.

²² See *id.* at 35–43.

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review. On April 9, 2025, RR sent an email to all parties to the investigation, notifying them of the commencement of the administrative review process and the assignment of RR case number H346715. On April 23, 2025, the USOMA timely filed a response to the requests for administrative review.

II. Law & Analysis

Section 517 of the Tariff Act of 1930, as amended (19 U.S.C. § 1517), provides, “with respect to covered merchandise, the Commissioner shall make a determination, based on substantial evidence, with respect to whether such covered merchandise was entered into the customs territory of the United States through evasion.”²³ The term evasion is defined as:

Except as provided in subparagraph (B), the term “evasion” refers to entering covered merchandise into the customs territory of the United States by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security or any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the merchandise.²⁴

Examples of evasion include, but are not limited to, misrepresentation of the merchandise’s true country of origin (*e.g.*, through false country of origin markings on the product itself or false sales), false or incorrect shipping and entry documentation, or misreporting of the merchandise’s physical characteristics.²⁵

Additionally, covered merchandise is defined as “merchandise that is subject to a CVD order issued under section 706, Tariff Act of 1930, as amended (19 U.S.C. § 1671e), and/or an AD order issued under section 736, Tariff Act of 1930, as amended (19 U.S.C. § 1673e).”²⁶ While “substantial evidence” is not defined by statute, the “substantial evidence” standard has been reviewed by the courts in relation to determinations by other agencies. “Substantial evidence requires more than a mere scintilla but is satisfied by something less than the weight of the evidence.”²⁷

Therefore, CBP must determine whether a party has entered merchandise that is subject to an AD or CVD order into the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act, that is material and false, or any omission that is material, that resulted in the reduction or avoidance of applicable cash deposits or antidumping or countervailing duties being collected on such

²³ 19 U.S.C. § 1517(c)(1).

²⁴ 19 U.S.C. § 1517(a)(5); *see also* 19 C.F.R. § 165.1.

²⁵ *See Investigation of Claims of Evasion of Antidumping and Countervailing Duties, Interim Regulations*, 81 Fed. Reg. 56,477, 56,478 (CBP Aug. 22, 2016).

²⁶ 19 C.F.R. § 165.1.

²⁷ *See Altx, Inc. v. United States*, 370 F.3d 1108, 1116 (Fed. Cir. 2004) (internal citations and quotation marks omitted).

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merchandise. In doing so, CBP may apply adverse inferences where they are warranted.²⁸ RR's determination as to evasion must be supported by substantial evidence.

A. Centric Pipe's Arguments

Centric Pipe requests that RR "either reverse TRLED's Final Determination of February 24, 2025, or rescind the Investigation as to PET *ab initio*."²⁹ Centric Pipe presents four arguments supporting its request: (1) the "Investigation relied on unsubstantiated, false statements"; (2) OCTG made from "hollow billets" are not in scope because they were substantially transformed in Thailand and CBP failed "to request a scope ruling from Commerce"; (3) CBP failed "to take PET's lowered production after the initiation of the Investigation into account"; and (4) Centric Pipe "fully cooperated throughout this investigation" and CBP did not find that Centric Pipe "made any materially false statements."³⁰

First, Centric Pipe asserts that CBP initiated this EAPA investigation using "a flawed Allegation based on unsubstantiated claims."³¹ Centric Pipe argues that, contrary to the claims raised in the allegations, an increase of exports, by itself, does not demonstrate evasion because PET has adequate production capacity to manufacture OCTG, as shown by the American Petroleum Institute ("API")'s 2023 Audit Report and photos and videos of PET's production facility.³² Additionally, Centric Pipe claims that the declarations attached to the allegations represent "unsupported statements made by third parties to other parties {that} cannot constitute evidence that 'reasonably' suggests evasion."³³ Moreover, Centric Pipe contends that "the mere [description of observed circumstances] does not 'reasonably' suggest evasion" because an "instant and reasonable conclusion from such an observation is that it was [specific times]" at that time.³⁴ Based on these factors, Centric Pipe alleges that "TRLED initiated this investigation in violation of 19 U.S.C. § 1517(b)(1)."³⁵

Second, Centric Pipe asserts that "hollow billets" from China are not in-scope merchandise under the AD/CVD Orders because "these inputs are not 'casing' or 'tubing' as contemplated by the scope" and because "hollow billets" were substantially transformed into OCTG in Thailand to render them of Thai origin.³⁶ Centric Pipe also argues that TRLED failed to direct a covered merchandise referral to Commerce because there was a "legitimate question as to whether the hollow steel billets used by PET fell within the scope of the Orders" and Commerce is "best situated to make determinations as to the scope."³⁷ Additionally, Centric

²⁸ See 19 C.F.R. § 165.6.

²⁹ Centric Pipe's Administrative Review Request (Apr. 7, 2025) (Public Version), at 25.

³⁰ *Id.* at ii.

³¹ See *id.* at 5.

³² See *id.* at 6. Under 19 U.S.C. § 1517, CBP determines whether substantial evidence of evasion exists, not circumvention. Therefore, CBP interprets Centric Pipe's references to "circumvention" in this context to mean evasion. See *id.* at 4, 6, 24 (discussing "circumvention" of the AD/CVD Orders).

³³ See *id.* at 7.

³⁴ Centric Pipe's Administrative Review Request (Apr. 7, 2025) (Business Confidential Version), at 7–8.

³⁵ Centric Pipe's Administrative Review Request (Public Version), at 8.

³⁶ *Id.* at 10; see also *id.* at 10–14.

³⁷ *Id.* at 14.

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Pipe claims that TRLED failed to consider that some of the hollow billets were imported from India and “therefore, were even less likely to fall within the scope of the Orders.”³⁸

Third, Centric Pipe asserts that TRLED’s “negative observations” at verification regarding PET’s production capability were conclusory and not based on substantial record evidence.³⁹ Centric Pipe maintains that TRLED’s observations regarding the number of employees present at PET’s facility during the on-site verification, the employees’ idleness, the cleanliness of the factory floors, and the lack of steel debris and paint can all be explained by the loss of customers and purchase orders that PET experienced due to the EAPA investigation.⁴⁰ Centric Pipe also argues that the API audit reports for 2022 and 2023 are more reliable sources of information for PET’s production capability than the verification due to timing of the verification, *i.e.*, six months after Centric Pipe’s last order.⁴¹ Thus, according to Centric Pipe, TRLED’s observations at verification do not fully reflect PET’s production capabilities.⁴²

Moreover, Centric Pipe cites to documentation on the administrative record that traces its imports of OCTG exported by PET.⁴³ With respect to TRLED’s observation that the weight of the goods listed on the Bill of Lading exceeded the weight of the Chinese-origin “hollow billets” used in production, Centric Pipe asserts that this discrepancy can be explained by “variables when exporting products,” “certain inconsistencies in the commercial invoices and mill certificates when compared to the bill of lading,” and the fact that PET’s recordkeeping is “done manually by PET employees” that “is subject to clerical error in the normal course of business.”⁴⁴

Further, Centric Pipe argues that in assessing PET’s electricity usage, “CBP failed to take into account any lag between production and sales.”⁴⁵ Centric Pipe contends that “CBP would have discovered the correlation between the increases and decreases in projected production volume reasonably aligned with PET’s electricity bills, accounting for the estimated three-month lag.”⁴⁶ Centric Pipe claims that PET’s electricity usage follows “expected patterns” that does not represent evidence of evasion, and therefore, “CBP based its findings on inaccurate assumptions.”⁴⁷

Fourth, Centric Pipe asserts that it made no materially false statements throughout the proceedings, “continually cooperated and complied to the best of its ability with CBP’s requests for information,” and exercised reasonable care to determine the origin of the OCTG it imported.⁴⁸ In support of these assertions, Centric Pipe cites to its efforts to verify PET’s production operations in Thailand, including the fact that PET “had an operational physical plant

³⁸ *Id.*

³⁹ *Id.* at 16.

⁴⁰ *See id.* at 15, 17.

⁴¹ *See id.* at 16.

⁴² *See id.*

⁴³ *See id.* at 18–21.

⁴⁴ *Id.* at 21.

⁴⁵ *Id.*

⁴⁶ *Id.* at 21–22.

⁴⁷ *Id.* at 23.

⁴⁸ *Id.*

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with requisite machinery for OCTG production, and was actively involved in the manufacture of OCTG.”⁴⁹

For these reasons, Centric Pipe requests that the February 24 Determination be reversed.

B. Energy Pipe’s Arguments

Energy Pipe requests that the February 24 Determination finding evasion be reversed for the following reasons: (1) the record contains substantial evidence that the OCTG imported by Energy Pipe were produced in Thailand from [description] billets and not “mother pipe,” and therefore, were not in-scope merchandise; (2) Energy Pipe did not make any material false statement or act or material omission and exercised reasonable care; (3) TRLED improperly applied adverse inferences against Energy Pipe; (4) CBP relied on case law that has been overturned; and (5) CBP relied on an [document] that was not placed on the record, which violated Energy Pipe’s due process rights.⁵⁰

First, Energy Pipe asserts that the adverse inference that all of the OCTG that TOP produced were Chinese-origin “mother pipe” contradicts the record evidence.⁵¹ According to Energy Pipe, “{t}here was no evidence in the record and no finding of fact that Energy Pipe imported OCTG made by TOP from mother pipe” that would be subject to the AD/CVD Orders.⁵² To the contrary, Energy Pipe argues that “there was specific evidence uncovered at the verification that the OCTG imported by Energy Pipe was made of [description] billets,” which are out of scope.⁵³ Energy Pipe contends that “CBP arbitrarily chose to disregard all of this information and apply a blanket adverse inference to all information from TOP,” which was “unwarranted” in light of TOP’s cooperation with the investigation.⁵⁴

Second, Energy Pipe argues that it “made no material false statement or act or material omission” and that it exercised reasonable care “in verifying TOP as a legitimate supplier prior to importing the OCTG at issue and properly entered all merchandise as country-of-origin Thailand as a result.”⁵⁵

Third, Energy Pipe argues that the imposition of an adverse inference against Energy Pipe is not supported by the administrative record.⁵⁶ Energy Pipe claims that CBP’s conclusion that TOP’s documentation was not reliable “rests on no evidence,” and that the rejection of “legitimate” information to find that all merchandise manufactured by TOP is in-scope merchandise “throws the baby out with the bathwater.”⁵⁷ Energy Pipe maintains that the fact that TOP is Chinese-owned does not provide evidence of evasion, and that the effects of the

⁴⁹ *Id.* at 24.

⁵⁰ *See generally* Energy Pipe’s Administrative Review Request (Apr. 7, 2025) (Business Confidential Version).

⁵¹ *See id.* at 16, 18–21.

⁵² *Id.* at 17; *see also id.* at 16, 18–19.

⁵³ *Id.* at 17; *see also id.* at 18.

⁵⁴ *Id.* at 19.

⁵⁵ *Id.* at 22; *see also id.* at 23.

⁵⁶ *See id.* at 23.

⁵⁷ *Id.* at 24.

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adverse inference on Energy Pipe, “a small first-time importer,” are “devastating.”⁵⁸ Additionally, Energy Pipe asserts that TOP and Energy Pipe complied with the EAPA investigation to the best of their abilities and that perfection is not required.⁵⁹

Fourth, Energy Pipe claims that CBP incorrectly relies on *Ikadan Systems USA, Inc. v. United States*, 639 F. Supp. 3d 1339 (Ct. Int’l Trade 2023), for the premise that EAPA is a strict liability statute.⁶⁰ Energy Pipe argues that the *Ikadan* decision “relied on the deference standard of *Chevron, USA, Inc. v. Natural Resources Defense Council, Inc.*, 104 S. Ct. 2778 (1984), which was overruled by the Supreme Court in *Loper Bright*, leaving no basis to find that EAPA is a strict liability statute.”⁶¹ Energy Pipe asserts that the EAPA statute requires “a degree of culpability,” citing to *Diamond Tools Technology LLC v. United States*, 609 F. Supp. 3d 1378 (Ct. Int’l Trade 2022) (“*Diamond Tools IP*”), in support of this assertion.⁶²

Fifth, Energy Pipe claims that CBP’s reliance on an [document] that was not placed on the administrative record violated Energy Pipe’s rights to due process.⁶³

For these reasons, Energy Pipe requests that the February 24 Determination be reversed.

C. Kana’s Arguments

Kana requests that RR reverse the February 24 Determination, alleging that: (1) the record evidence does not demonstrate that Kana imported Chinese-origin OCTG; (2) Kana exercised reasonable care in determining that the OCTG which Kana imported were products of Thailand; and (3) Kana has not “presented any material or false statement, act, or omission that would result in EAPA liability.”⁶⁴

First, Kana argues that the administrative record does not demonstrate “that all the OCTG TOP sold importers and to Kana specifically was of Chinese origin.”⁶⁵ Kana asserts that the on-site verification showed that TOP had the capacity and capability to manufacture all of the OCTG it exported to the United States,⁶⁶ and that the information TOP provided to CBP “do{es} not demonstrate that Kana’s purchases were anything but certified as Thailand origin by the Thai Chamber of Commerce.”⁶⁷

Second, Kana asserts that it exercised reasonable care in confirming TOP as the supplier of OCTG and properly entering all merchandise as Thai-origin.⁶⁸ Specifically, Kana states that, prior to importing OCTG, it reviewed TOP’s brochures that highlighted its certificates in

⁵⁸ *Id.*

⁵⁹ *See id.* at 25.

⁶⁰ *See id.* at 26.

⁶¹ *Id.* at 26 (citing *Loper Bright Enters. v. Raimondo*, 603 U.S. 369 (2024)); *see also* Energy Pipe’s Administrative Review Request (Business Confidential Version), at 27.

⁶² Energy Pipe’s Administrative Review Request (Business Confidential Version), at 28.

⁶³ *See id.* at 28–29.

⁶⁴ Kana’s Administrative Review Request (Apr. 7, 2025) (Public Version), at 4.

⁶⁵ *Id.* at 8; *see also id.* at 9.

⁶⁶ *See id.* at 8–9.

⁶⁷ *Id.* at 10.

⁶⁸ *See id.* at 11–13.

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Thailand and advertised approval by the API, communicated with Kana's largest U.S. customer who had visited TOP's facilities, and had familiarity with TOP's operator and the operator's family.⁶⁹ Additionally, Kana claims that it reviewed the "full package of accompanying documents" with each shipment of OCTG it received, which included an official Country of Origin Certificate issued by the Thai Chamber of Commerce, monitored the eligibility of product that met API standards, and requested additional information when notified of a potential issue with the country of origin.⁷⁰

Third, Kana argues that it made no material false statement, act or omission. Citing to *Diamond Tools Technology LLC v. United States*, 545 F. Supp. 3d 1324, 1355 (Ct. Int'l Trade 2021) ("*Diamond Tools I*"), and *Diamond Tools II*, Kana asserts that the EAPA statute requires a degree of culpability and is not a strict liability statute.⁷¹ Specifically, Kana asserts that per *Diamond Tools I*, Kana cannot be found to have made a false statement because it relied on the Thai government-issued certificate of origin and "a statement cannot be considered 'false' where an importer relies on a 'clearly stated conclusion.'"⁷² Furthermore, Kana argues that the February 24 Determination incorrectly found that Kana provided false information to CBP regarding Kana's corporate structure and ownership, some of which could have been explained had Kana had an opportunity to provide an explanation.⁷³

For these reasons, Kana requests that the February 24 Determination be reversed.

D. LE Commodities' Arguments

LE Commodities requests that the February 24 Determination be reversed because the record does not support a finding of substantial evidence of evasion regarding OCTG imported from PET and adverse inferences should not apply to PET because it cooperated to the best of its ability.⁷⁴

LE Commodities asserts that the OCTG it imported are "not covered merchandise and entering the OCTG as a product of Thailand was not a materially false statement" because the Chinese-origin solid and hollow billets that PET used to manufacture OCTG in Thailand are not covered merchandise under the plain scope language of the AD/CVD Orders.⁷⁵ LE Commodities claims that "PET extensively processed these billets within Thailand to manufacture the OCTG," which constituted substantial transformation pursuant to CBP rulings and resulted in the billets being outside of scope of the AD/CVD Orders.⁷⁶ LE Commodities further argues that Commerce has never specifically found the inputs of solid or hollow steel billets to be in-scope merchandise, citing to *Bell Supply Co., LLC v. United States*, 393 F. Supp. 1229 (Ct. Int'l Trade 2019), whereby the U.S. Court of International Trade ("CIT") affirmed

⁶⁹ See *id.* at 11–12.

⁷⁰ See *id.* at 12–13.

⁷¹ See *id.* at 14.

⁷² *Id.* (quoting *Diamond Tools I*, 545 F. Supp. 3d at 1355).

⁷³ See Kana's Administrative Review Request (Public Version), at 16–18.

⁷⁴ See LE Commodities' Administrative Review Request (Apr. 7, 2025) (Public Version), at 26.

⁷⁵ *Id.* at 6.

⁷⁶ *Id.*; see also *id.* at 17–19.

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Commerce’s scope ruling that unfinished OCTG, including green tubes, are subject to the AD/CVD Orders.⁷⁷

LE Commodities also contends that, contrary to the findings in the February 24 Determination, PET had sufficient production capacity as evidenced by LE Commodities’ submissions to TRLED.⁷⁸ According to LE Commodities, TRLED’s estimates regarding production time from solid billets as observed during verification are “not indicative of PET’s productive capacity of OCTG made from hollow billets.”⁷⁹

LE Commodities also asserts that TRLED wrongly concluded that PET’s electricity usage could not support PET’s stated production levels.⁸⁰ LE Commodities argues that TRLED incorrectly looked at the cost of electricity — which was subject to variation — rather than the actual electricity consumption.⁸¹ Moreover, LE Commodities asserts that PET’s electricity costs cannot be compared to TOP’s electricity costs because they are “distinct facilities located in different geographic and utility environments. . . .”⁸²

In addition, LE Commodities argues that “CBP’s conclusion that PET’s conduct during employee interviews constitutes evidence of evasion is not supported by substantial evidence.”⁸³ LE Commodities claims that PET “fully facilitated the agency’s onsite verification,” “allowed its employees to speak freely with CBP through interpreters,” and conducted “a thorough facility tour.”⁸⁴ According to LE Commodities, PET also “responded comprehensively to CBP’s numerous requests for information,” provided “detailed employee records, including names, job titles, health insurance documentation, and payroll data,” and “was forthright regarding its business registrations and affiliations.”⁸⁵ LE Commodities explains that “[l]anguage barriers or limited responsiveness” by PET’s employees do not constitute materially false statements or omissions or a failure to cooperate with the verification.⁸⁶

Further, LE Commodities claims that adverse inferences should not have been applied because PET’s actions do not rise to the level of conduct that adverse inferences requires.⁸⁷ LE Commodities supports this claim by distinguishing PET’s actions during the investigation from actions taken by importers in other cases, where those importers had actively deleted files, refused to provide documents, and failed to disclose key relationships.⁸⁸ LE Commodities

⁷⁷ See *id.* at 6, n.22.

⁷⁸ See *id.* at 7.

⁷⁹ *Id.* at 9.

⁸⁰ See *id.* at 9–10.

⁸¹ See *id.* at 10–12.

⁸² *Id.* at 10.

⁸³ *Id.* at 12.

⁸⁴ *Id.*

⁸⁵ *Id.* at 13, 16.

⁸⁶ *Id.* at 14–15.

⁸⁷ See *id.* at 20–22.

⁸⁸ See *id.* (citing *Aspects Furniture, Inc. v. United States*, 651 F. Supp. 3d 1328 (Ct. Int’l Trade 2023); *Phoenix Metal Co. v. United States*, CIT No. 23-00048, 2024 WL 2891503, at *7 (Ct. Int’l Trade June 10, 2024); *Am. Kitchen Cabinet All. v. United States*, CIT No. 23-00140, 2024 WL 4824242, at *5 (Ct. Int’l Trade Oct. 31, 2024); *All One God Faith, Inc. v. United States*, 589 F. Supp. 3d 1238 (Ct. Int’l Trade 2022), *aff’d* 129 F.4th 1350 (Fed.

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asserts that minor imperfections do not rise to the level of conduct qualifying for adverse inferences, and that PET cooperated to the best of its ability with CBP's requests for information.⁸⁹

Finally, LE Commodities claims that it exercised reasonable care, "did not make any materially false statements or omissions, nor did it have any knowledge of any transshipment or evasion," and "reasonably relied on certificates to ensure compliance with U.S. trade laws."⁹⁰ As such, LE Commodities did not evade the AD/CVD Orders.⁹¹

For these reasons, LE Commodities requests that the February 24 Determination be reversed.

E. Trek Metals' Arguments

Trek Metals requests that RR reverse the February 24 Determination for the following reasons: (1) TRLED improperly initiated the investigation because the facts do not meet the threshold criterion of reasonable suspicion of evasion; (2) record evidence contradicts the finding of adverse inferences against TOP regarding its use of "mother pipe"; and (3) adverse inferences should not be used against Trek Metals because it exercised due diligence and fully cooperated with TRLED during the investigation.⁹²

First, Trek Metals asserts that TRLED improperly found reasonable suspicion of evasion by Trek Metals based on TOP's Chinese ownership and affiliation with its Chinese suppliers, export volumes that exceeded TOP's purported production capacity, unsupported statements regarding transshipment of Chinese-origin OCTG by Thai companies that appear in the allegation, and an [] document and date [] that was not placed on the administrative record.⁹³

Second, Trek Metals argues that TRLED failed to base its determination of evasion on substantial evidence, and instead, improperly relied on adverse inferences to conclude that all of the OCTG produced by TOP was made from Chinese-origin "mother pipe."⁹⁴ Specifically, Trek Metals asserts that the evidence in the record shows that the OCTG that Trek Metals imported from TOP were made from [description] billets in Thailand.⁹⁵

Third, Trek Metals contends that TRLED's "sledge-hammer approach" in its application of adverse inferences against Trek Metals "was arbitrary, capricious and an abuse of discretion."⁹⁶ Trek Metals differentiates itself from the other companies against which TRLED

Cir. 2025); *Ad Hoc Shrimp Trade Action Comm. v. United States*, 802 F.3d 1339 (Fed. Cir. 2015); *CEK Grp. LLC v. United States*, 633 F. Supp. 3d 1369 (Ct. Int'l Trade 2023)).

⁸⁹ See LE Commodities' Administrative Review Request (Public Version), at 21, 24–25.

⁹⁰ *Id.* at 25–26.

⁹¹ See *id.* at 26.

⁹² See generally Trek Metals' Administrative Review Request (Apr. 17, 2025) (Business Confidential Version).

⁹³ See *id.* at 7–10.

⁹⁴ *Id.* at 10–19.

⁹⁵ See *id.* at 12–16.

⁹⁶ *Id.* at 17.

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applied adverse inferences, arguing that Trek Metals cooperated with CBP's requests for information, visited TOP's production facility in Thailand, submitted voluntary factual information, and supplied a "complete transaction chain" between TOP's production and importation of OCTG by Trek Metals.⁹⁷

For these reasons, Trek Metals requests that the February 24 Determination be reversed.

F. TSPGA's Arguments

TSPGA requests that the February 24 Determination be reversed with respect to TSPGA's entries of OCTG for the following reasons: (1) there was no substantial evidence of evasion; (2) adverse inferences should not have been applied to PET because it cooperated with CBP's requests for information to the best of its ability; (3) adverse inferences should not be applied to TSPGA because the requested information had no bearing on whether TSPGA attempted to evade the AD/CVD Orders; and (4) TSPGA exercised reasonable care.⁹⁸

First, TSPGA argues that the record does not contain substantial evidence of evasion because the OCTG that PET produced in Thailand from Chinese-origin hollow steel billets do not fall within the scope of the AD/CVD Orders.⁹⁹ TSPGA asserts that Commerce has never specifically found the inputs of solid or hollow steel billets to be in-scope merchandise, citing to *Bell Supply*, whereby the CIT affirmed Commerce's scope ruling that unfinished OCTG, including green tubes, are subject to the AD/CVD Orders.¹⁰⁰ TSPGA also claims that the Chinese-origin hollow steel billets that PET used to manufacture OCTG are not covered merchandise because they were substantially transformed in Thailand, citing to CBP rulings to support this claim.¹⁰¹

In addition, TSPGA contends that PET had the production capacity to produce OCTG, as evidenced by invoices for raw materials, import records, and accounting records in the administrative record, as well as CBP's observations at verification.¹⁰² TSPGA alleges that CBP underestimated PET's production capacity despite these materials.¹⁰³ TSPGA also argues that there were impediments, such as incorrect raw materials, that slowed down the OCTG production during the verification demonstration, which would not normally have occurred.¹⁰⁴

Moreover, TSPGA asserts that "CBP's conclusion that PET could not have produced the subject OCTG based on its electricity usage is unsupported by substantial evidence and rests on speculation rather than a sound factual analysis."¹⁰⁵ TSPGA maintains that CBP improperly based its observation regarding PET's electricity usage on cost data rather than actual

⁹⁷ *Id.* at 22; *see also id.* 19–22.

⁹⁸ *See generally* TSPGA's Administrative Review Request (Apr. 7, 2025) (Public Version).

⁹⁹ *See id.* at 5.

¹⁰⁰ *See id.* at 5, n.22.

¹⁰¹ *See id.* at 5, 16–18.

¹⁰² *See id.* at 5–8.

¹⁰³ *See generally id.* at 7–8.

¹⁰⁴ *See id.* at 7–8.

¹⁰⁵ *Id.* at 8.

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consumption.¹⁰⁶ TSPGA also notes that “PET and TOP are distinct facilities located in different geographic and utility environments,” and therefore, “their electricity rates or operational efficiencies” cannot be compared.¹⁰⁷

Further, TSPGA claims that TRLED’s conclusions regarding PET’s conduct during verification, including the submission of false statements and PET’s instructions to its employees not to speak to TRLED, do not amount to a materially false statement or omission or provide a reasonable basis for finding evasion.¹⁰⁸ TSPGA argues that PET “fully facilitated the agency’s onsite verification,” “allowed its employees to speak freely with CBP through interpreters,” and conducted “a thorough facility tour{.}”¹⁰⁹ According to TSPGA, PET “responded comprehensively to CBP’s numerous requests for information,” provided “detailed employee records, including names, job titles, health insurance documentation, and payroll data,” and “was forthright regarding its business registrations and affiliations.”¹¹⁰ TSPGA explains that “{ } language barriers or limited responsiveness” by PET’s employees do not constitute materially false statements or omissions or a failure to cooperate with the verification.¹¹¹

Second, TSPGA asserts that adverse inferences should not have been applied because PET’s actions do not rise to the level of conduct that adverse inferences requires.¹¹² TSPGA supports this claim by distinguishing PET’s actions during the investigation from actions taken by importers in other cases, where those importers had actively deleted files, refused to provide documents, and failed to disclose key relationships.¹¹³ TSPGA asserts that minor imperfections do not rise to the level of conduct qualifying for adverse inferences, and that PET cooperated to the best of its ability with CBP’s requests for information.¹¹⁴

Third, TSPGA asserts that the application of adverse inferences against TSPGA is unwarranted.¹¹⁵ TSPGA qualifies TRLED’s conclusion that TSPGA purposely withheld requested communications with PET as “speculative and unsupported by any evidence in the record.”¹¹⁶ TSPGA maintains that its communications with PET occurred “via phone calls within the apps — not email.”¹¹⁷ Therefore, TSPGA had no email correspondence to provide to TRLED, and the non-production of such communications neither constitutes a failure to cooperate nor evidence to support a finding of evasion.¹¹⁸ TSPGA also contests TRLED’s

¹⁰⁶ *Id.* at 9–10; *see also id.* at 9–11.

¹⁰⁷ *Id.* at 9.

¹⁰⁸ *See id.* at 11–12.

¹⁰⁹ *Id.* at 12.

¹¹⁰ *Id.* at 12, 14.

¹¹¹ *Id.* at 12.

¹¹² *See id.* at 13–15, 19–23.

¹¹³ *See id.* at 20–21 (citing *Aspects Furniture, Inc.*, 651 F. Supp. 3d 1328; *Phoenix Metal Co.* CIT No. 23-00048, 2024 WL 2891503, at *7; *Am. Kitchen Cabinet All.*, CIT No. 23-00140, 2024 WL 4824242, at *5; *All One God Faith, Inc.*, 589 F. Supp. 3d 1238; *Ad Hoc Shrimp Trade Action Comm.*, 802 F.3d 1339; *CEK Grp. LLC*, 633 F. Supp. 3d 1369).

¹¹⁴ *See* TSPGA’s Administrative Review Request (Public Version), at 20, 23–24.

¹¹⁵ *See id.* at 24–27.

¹¹⁶ *Id.* at 24.

¹¹⁷ *Id.*

¹¹⁸ *See id.* at 24–26.

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“implication of affiliation” with PET, which TSGPA states is unsupported by the record evidence.¹¹⁹

Finally, TSPGA argues that it “exercised reasonable care to determine both the origin of the goods and the applicability of AD/CVD duties.”¹²⁰ In support of this argument, TSPGA describes its requirements that PET provide mill test certificates that included quality certificates issued by the API and “a comprehensive factory profile,” and TSPGA’s “multiple onsite visits to PET’s facilities over the course of their business relationship between 2022 and 2024.”¹²¹ TSPGA argues that it did not make any materially false statements or omissions and “reasonably relied on certificates to ensure compliance with U.S. trade laws.”¹²² As such, TSPGA did not evade the AD/CVD Orders.¹²³

For these reasons, TSPGA requests that the February 24 Determination be reversed.

G. The USOMA’s Arguments

The USOMA requests that RR affirm the February 24 Determination and provides five bases in support of its position: (1) CBP properly initiated the EAPA investigation; (2) claims that the administrative record is incomplete are false; (3) the Chinese-origin “hollow billets” or “mother pipe” are in-scope merchandise subject to the AD/CVD Orders; (4) TRLED properly applied adverse inferences in this case; and (5) the record evidence itself supports a finding of substantial evidence of evasion.¹²⁴

First, the USOMA asserts that the allegations satisfied the “reasonably suggests” standard required for initiation of an EAPA investigation, which the CIT has found to be lower than the “reasonable suspicion” and “substantial evidence” standards required to impose interim measures and find evasion.¹²⁵ The USOMA argues that the evidence in the allegations regarding a dramatic increase of shipments, the exporters’ relationships with Chinese interests, and [information] meets the standard for initiation of an investigation.¹²⁶

Second, the USOMA states that contrary to Energy Pipe’s and Trek Metals’ arguments, TRLED placed the [document] on the administrative record by citing to the reader where the [document] can be located.¹²⁷ Therefore, Trek Metals’ and Energy Pipe’s claims that the administrative record is incomplete lack merit.¹²⁸

¹¹⁹ *Id.* at 26; *see also id.* at 26–27.

¹²⁰ *Id.* at 27.

¹²¹ *Id.* at 27–28.

¹²² *Id.* at 25–26.

¹²³ *See id.* at 28.

¹²⁴ *See generally* USOMA’s Response (Apr. 23, 2024) (Business Confidential Version).

¹²⁵ *See id.* at 13–14 (citing *Leco Supply, Inv. v. United States*, 619 F. Supp. 3d 1287, 1296 (Ct. Int’l Trade 2023); *CEK Grp.*, 633 F. Supp. 3d at 1374–75; *Am. Pac. Plywood, Inc. & LB Wood Cambodia Co., Ltd. v. United States*, CIT No. 20-03914, 2023 WL 4288346, Slip Op. 23-93 at *8 (Ct. Int’l Trade June 22, 2023)).

¹²⁶ *See* USOMA’s Response (Business Confidential Version), at 14.

¹²⁷ *See id.* at 14–15.

¹²⁸ *See id.* at 15.

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Third, the USOMA asserts that 19 U.S.C. § 1517 “directs CBP to refer questions of scope to Commerce *only* when CBP ‘is unable to determine whether the merchandise at issue is covered merchandise’ itself, *not* when CBP is able to make a determination.”¹²⁹ Additionally, the USOMA argues that both Commerce and the courts have found that the plain language of the scope of the AD/CVD Orders “states explicitly that unfinished OCTG from China is covered, even if that unfinished OCTG is later finished in a third country.”¹³⁰ The USOMA states that the physical characteristics of the merchandise fit the scope language of the AD/CVD Orders, regardless of the names given to these materials by PET and TOP.¹³¹ Moreover, the USOMA contends that PET’s and TOP’s claims regarding any processing performed in Thailand are unreliable because “the record shows time and time again that TOP and PET falsified documents and made fraudulent claims to mislead CBP on [activities by manufacturer].”¹³² Further, the USOMA notes that in other final administrative determinations, RR has concluded that the country of origin of a good from a customs law perspective differs from whether the good falls within the scope of an AD/CVD order.¹³³

Fourth, the USOMA asserts that adverse inferences were properly applied based on the “copious examples on the record” of attempts by TOP and PET to “mislead and deceive CBP and to duplicitously cover their evasion of the AD/CVD orders.”¹³⁴ In addition, the USOMA cites to judicial precedent where the courts have upheld the application of adverse inferences against an uncooperative manufacturer that negatively affects a cooperative party.¹³⁵ The USOMA also states that LE Commodities and TSPGA failed to support their claims that “various court decisions affirming CBP’s use of adverse inferences have created a ‘factual threshold’ for the level of noncooperation that must be reached before CBP can apply adverse inferences.”¹³⁶ Moreover, the USOMA asserts that TRLED properly found that Kana made false statements and that TSPGA failed to fully cooperate.¹³⁷ Further, the USOMA contends that the Importers incorrectly claimed that CBP cannot apply adverse inferences or find substantial evidence of evasion because the Importers exercised reasonable care and that the EAPA statute contains a culpability requirement.¹³⁸

Fifth, the USOMA asserts that substantial evidence supports the determination of evasion and that RR must consider the record as a whole and not submit to the Importers’ piecemeal representations of the facts or efforts to engage RR in an entry-by-entry analysis.¹³⁹

¹²⁹ *Id.* (emphasis in original) (quoting 19 U.S.C. § 1517(b)(4)(A)).

¹³⁰ USOMA’s Response (Business Confidential Version), at 16 (citing *Bell Supply Co., LLC*, 393 F. Supp. 3d at 1236).

¹³¹ *See* USOMA’s Response (Business Confidential Version), at 16.

¹³² *Id.* at 17.

¹³³ *See id.* at 18–19.

¹³⁴ *Id.* at 20.

¹³⁵ *See id.* at 20–21 (citing *All One God Faith, Inc.*, 129 F.4th at 1359; *H&E Home, Inc. v. United States*, 714 F. Supp. 3d 1353, 1358 (Ct. Int’l Trade 2024); *Skyview Cabinet USA, Inc. v. United States*, CIT No. 22-0080, 2023 WL 4073781, at *9 (Ct. Int’l Trade June 20, 2023), *adhered to*, 745 F. Supp. 3d 1326 (Ct. Int’l Trade 2024)).

¹³⁶ USOMA’s Response (Business Confidential Version), at 21; *see also id.* at 21–22.

¹³⁷ *See id.* at 23–24.

¹³⁸ *See id.* at 24–27.

¹³⁹ *See id.* at 27–29.

III. Administrative Review Analysis

Pursuant to 19 U.S.C. § 1517(f)(1) and 19 C.F.R. § 165.45, upon request for administrative review, RR will apply a *de novo* standard of review under the law, based solely upon the facts and circumstances on the administrative record in the proceeding. In making our determination, RR reviewed the following materials: (1) the administrative record upon which the February 24 Determination was made, as provided to RR by TRLED; and (2) the timely and properly filed requests for review and response.

RR hereby determines that the substantial evidence on the record demonstrates that Centric Pipe, Energy Pipe, Kana, LE Commodities, Trek Metals, and TSPGA entered covered merchandise through evasion. More specifically, without properly identifying the merchandise, they shipped OCTG from China, through Thailand, and then into the United States. As discussed below, the OCTG entered by these six companies constituted covered merchandise, as set forth in the AD/CVD Orders. Furthermore, Centric Pipe, Energy Pipe, Kana, LE Commodities, Trek Metals, and TSPGA entered the covered merchandise by means of material and false documents or electronically transmitted data or information, written statements, or material omissions by entering the merchandise on type “01” consumption entries instead of on type “03” AD/CVD entries and omitting the relevant AD/CVD case numbers from the entry summary documentation. These false statements and omissions are material because the applicable cash deposits and antidumping and countervailing duties were not paid. Additionally, Centric Pipe, Energy Pipe, Kana, LE Commodities, Trek Metals, and TSPGA interfered with the government’s ability to accurately track imports of OCTG from China, to collect the applicable antidumping and countervailing duties due, and to determine and assess future antidumping and countervailing duties.

A. There is substantial record evidence that the finished OCTG imported into the United States by Centric Pipe, LE Commodities, and TSPGA and exported by PET (Thailand) are “covered merchandise.”

1. The hollow steel billets from China that PET used to manufacture finished OCTG in Thailand are subject merchandise under the AD/CVD Orders.

There is substantial record evidence that PET used “hollow steel billets” and [descript.] billets from China to produce finished OCTG in Thailand.¹⁴⁰ Between 2021 and 2023, PET estimated that the “hollow steel billets” accounted for approximately [#] percent of its OCTG production.¹⁴¹ According to PET’s RFI Response, [#] percent of the OCTG that PET produced used Chinese-origin “hollow steel billets” between February 2023 and May 2024

¹⁴⁰ See PET RFI Response (Business Confidential Version), at Ex. V-7.2 at pp. 274–293 (spreadsheet showing purchases of “hollow steel billets”), Ex. V-7.3 at pp.294–301 (spreadsheet showing purchases of hollow steel billets from China); see also Verification Report (Dec. 5, 2024) (Business Confidential Version), at 5.

¹⁴¹ See Verification Report (Business Confidential Version), at 5.

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because PET purchased [#] MT of Chinese-origin “hollow steel billets” and [#] MT of [description] billets during that time period.¹⁴²

PET described the “hollow steel billets” it used to produce finished OCTG as “round billets that are hollow,”¹⁴³ and, in its Supplemental RFI Response, provided pictures of steel products of circular cross-section that are hollow in the middle to support this physical description.¹⁴⁴ At verification, CBP officials observed “hollow steel billets” at PET’s facility, and confirmed the physical description provided by PET.¹⁴⁵ At verification, PET also explained that the production process for finished OCTG is shortened significantly when it begins with “hollow steel billets” because the piercing and hot rolling processing steps can be skipped.¹⁴⁶ Based on this information, TRLED concluded that the “hollow steel billets” that PET used to manufacture finished OCTG “are essentially tubes or casing that were [descript.]” in China.¹⁴⁷

The scope language of the AD/CVD Orders clearly defines OCTG as “hollow steel products of circular cross-section,” corresponding to PET’s description of “hollow steel billets”:

*The scope of this order consists of certain oil country tubular goods (“OCTG”), which are hollow steel products of circular cross-section, including oil well casing and tubing, of iron (other than cast iron) or steel (both carbon and alloy), whether seamless or welded, regardless of end finish (e.g., whether or not plain end, threaded, or threaded and coupled) whether or not conforming to American Petroleum Institute (“API”) or non-API specifications, whether finished (including limited service OCTG products) or unfinished (including green tubes and limited service OCTG products), whether or not thread protectors are attached.*¹⁴⁸

Very importantly, the scope language of the AD/CVD Orders clearly states that “hollow steel products of circular cross-section,” whether finished or unfinished, are subject merchandise under the scope of the AD/CVD Orders.¹⁴⁹ Further, contrary to Centric Pipe’s argument, the scope language makes clear that subject merchandise *includes* OCTG in casing or tubing but does not require the OCTG to have such physical characteristics.¹⁵⁰

Based on the plain scope language, which includes unfinished merchandise, the AD/CVD Orders cover Chinese “hollow steel billets” that are finished in a third country, such as Thailand.

¹⁴² See PET RFI Response (Business Confidential Version), at Ex. V-7.2, pp. 274–293. In light of these percentages, Centric Pipe’s argument about some sourcing from India is unavailing because CBP does not need to conduct an entry-by entry-analysis to find evasion. Compare Centric Pipe’s Administrative Review Request (Public Version), at 10 with *Ikadan*, 639 F. Supp. 3d at 1354.

¹⁴³ See Verification Report (Dec. 5, 2024) (Public Version), at 5.

¹⁴⁴ See PET Supplemental RFI Response (Sept. 10, 2024) (Public Version), at 27 and Ex. 39.

¹⁴⁵ See Verification Report (Public Version), at 22.

¹⁴⁶ See *id.* at 5.

¹⁴⁷ February 24 Determination (Business Confidential Version), at 22 (citing Verification Report (Business Confidential Version), at 4–5).

¹⁴⁸ 75 Fed. Reg. at 3,203–04 (emphases added); 75 Fed. Reg. at 28,553 (emphases added).

¹⁴⁹ 75 Fed. Reg. at 3,203–04 (emphases added); 75 Fed. Reg. at 28,553 (emphases added).

¹⁵⁰ 75 Fed. Reg. at 3,203–04 (emphases added); 75 Fed. Reg. at 28,553 (emphases added); *but see* Centric Pipe’s Administrative Review Request (Public Version), at 10.

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PET's alleged finishing of in-scope Chinese "hollow steel billets" in Thailand to manufacture finished OCTG does not remove these "hollow steel billets" from the scope of the AD/CVD Orders.¹⁵¹ PET claimed to have performed a multi-step process to finish OCTG made from "hollow steel billets" which included: [

description of production process

].¹⁵² Even assuming that all of these operations occurred in Thailand, which the record does not support, the operations do not somehow render the products to be out-of-scope. Accordingly, the finished OCTG that Centric Pipe, LE Commodities, and TSPGA imported into the United States are "covered merchandise."

Centric Pipe's, LE Commodities', and TSPGA's focus on "country of origin" and "substantial transformation" of the hollow steel billets for purposes of marking, customs duties or otherwise, is inapposite to the question presented here — whether the Importers entered merchandise covered by the AD/CVD Orders into the United States. It is well-settled law that the country of origin of a good from a customs law perspective is not the same as whether the good falls within the scope of an AD or CVD order with respect to a certain country.¹⁵³ In addition, nothing in Commerce's AD/CVD Orders requires that the ultimate country of origin of the covered merchandise, from a customs marking or other customs law perspective, be China; rather, the question is whether the merchandise is covered by the AD/CVD Orders, *as described by Commerce*. Here, the plain language of the AD/CVD Orders clearly states that hollow steel products of circular cross-section, whether finished or unfinished, are covered, and remain covered, where the merchandise is subsequently finished in a third country such as Thailand.

Therefore, RR concludes that there is substantial evidence that the "hollow steel billets" from China that PET used to manufacture finished OCTG in Thailand are covered by the scope of the AD/CVD Orders.

2. There is substantial record evidence that PET transshipped finished OCTG from China through Thailand.

There is substantial evidence on the record that PET lacked both the production capability and capacity to manufacture finished OCTG in Thailand.

¹⁵¹ See also generally *Bell Supply Co., LLC*, 348 F. Supp. 3d 1281 (affirming Commerce's scope ruling to include seamless unfinished OCTG and green pipes produced in China and finished in third countries as in-scope merchandise subject to the AD/CVD Orders).

¹⁵² See Verification Report (Business Confidential Version), at 7-8.

¹⁵³ See, e.g., *Aireko Constr., LLC v. United States*, 425 F. Supp. 1307, 1312 n.7 (Ct. Int'l Trade 2020) (acknowledging that country of origin differs in the AD/CVD versus customs marking contexts because "CBP makes country of origin determinations under a different authority than that by which Commerce determines country of origin for purposes of applying AD/CVD duties") (citing 19 U.S.C. § 1304; *SunEdison, Inc. v. United States*, 179 F. Supp. 3d 1309, 1323 n.77 (Ct. Int'l Trade 2016) (finding CBP's country of origin determinations to be "inapposite" to Commerce's country of origin determinations)).

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First, the record evidence suggests that the “hollow steel billets” that PET imported from China into Thailand were likely finished OCTG because PET lacked the production capability in Thailand to manufacture OCTG from “hollow steel billets.”

In particular, PET explained that its process to manufacture finished OCTG from hollow steel billets required [description of production process].¹⁵⁴ As TRLED observed during verification, the [description of production machine].¹⁵⁵ PET claimed that it purchased [machine and date]; however, the [machine] were noticeably [descript.] from the manufacturing video dated [date] that PET provided in its RFI response, which depicts the same space observed by TRLED during verification.¹⁵⁶ PET never explained the [information] from the video.¹⁵⁷ Without the [machine], PET would not have been able to utilize its claimed production process with respect to hollow steel billets.

The timeline and other evidence on the record shows that OCTG coming from PET was likely fully finished when PET purchased it from China. During the on-site verification of PET’s facility between October 28, 2024 and November 1, 2024 — *i.e.*, [time] after the date of the manufacturing video where the [machine] were noticeably [descript.] — CBP officials viewed the [machine].¹⁵⁸ This timeline of events suggests that PET purchased the [machine] between the dates of the manufacturing video and the on-site verification, not in [date].¹⁵⁹ Additionally, the administrative record contains evidence that PET purchased “raw materials” from at least one known Chinese manufacturer of finished OCTG, [business].¹⁶⁰

Second, evidence in the administrative record shows that PET’s production capacity was lower than it claimed during the on-site verification.¹⁶¹ PET estimated its peak production capacity in 2023 to be [# range] pieces daily, with an actual production average of [#] pieces daily.¹⁶² Based on the production demonstration that PET performed during the on-site verification, TRLED calculated that it would take approximately [#] hours to heat treat [#] pieces.¹⁶³ As noted by TRLED, however, this calculation does not allot time to reset the machines to handle pipes of different sizes or to transport the pipes by crane to the heat treatment area for manual loading into the machines.¹⁶⁴ TRLED determined that to match the low-end of PET’s claimed production capacity (*i.e.*, [#] pieces per day), PET would have only [#]

¹⁵⁴ See Verification Report (Business Confidential Version), at 7-8.

¹⁵⁵ See *id.* at 37.

¹⁵⁶ See *id.* at 7-8. See also PET RFI Response (Business Confidential Version), at Ex. V.16.

¹⁵⁷ See February 24 Determination (Business Confidential Version), at 26 (citing Verification Report (Business Confidential Version), at 18).

¹⁵⁸ See Verification Report (Business Confidential Version), at 8, 37.

¹⁵⁹ See February 24 Determination (Business Confidential Version), at 25–26.

¹⁶⁰ See *id.* at 28 (discussing mill test certificates [business name and activities]) (citing Verification Report (Business Confidential Version), at 14); PET RFI Response (Business Confidential Version), at Ex. V-7 pp. 297–98; Adding Information to the Administrative Record of EAPA 7890 (Nov. 25, 2024) (Business Confidential Version), at Attach. 18, p. 379 (containing [business] product catalogue of the OCTG it produces in China).

¹⁶¹ See Verification Report (Business Confidential Version), at 5.

¹⁶² See *id.*

¹⁶³ See *id.*

¹⁶⁴ See *id.*

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seconds in total to take all of the following steps: (1) move the pipes by crane to the heat treatment area; (2) remove the pipes from the crane; (3) load the pipes into the machine; (4) unload the machine; and (5) move the heat-treated pipes to the next production area.¹⁶⁵ We conclude, as did TRLED, that it is not credible that all of these steps could be performed in that time; accordingly, we determine that PET's production capacity was lower than claimed.

We note that Centric Pipe, LE Commodities and TSPGA cite reasons to find fault with some of the findings emanating from the on-site verification at PET, and proffer alternative explanations for what was observed by CBP. However, we agree with the USOMA that a piecemeal approach is inappropriate. Rather, RR has focused on the record, considered as whole, and we find that the on-site verification and other evidence of record, as discussed herein and by TRLED, support a conclusion that PET did not manufacture in Thailand, from non-subject merchandise, all of the finished OCTG that it shipped from Thailand to the United States.

Based on the information detailed above, RR finds that there is substantial record evidence that PET transshipped finished OCTG from China through Thailand, which were then imported into the United States by Centric Pipe, LE Commodities, and TSPGA.

B. There is substantial record evidence that the finished OCTG imported into the United States by Energy Pipe, Kana, and Trek Metals and exported by TOP (Thailand) are “covered merchandise.”

First, evidence in the administrative record shows that TOP used “mother pipe” from China to produce OCTG in Thailand. TOP stated that of the [#] MT of OCTG it produced during the POI,¹⁶⁶ [# range] percent used “mother pipe.”¹⁶⁷ Evidence that TOP itself placed on the administrative record shows an even higher percentage of OCTG that were produced using “mother pipe.” For example, a purchase list of TOP's major direct materials during the POI shows that TOP purchased [#] MT of “billets” and [#] MT of Chinese-origin “mother pipe.”¹⁶⁸ Thus, according to its own records, [#] percent of TOP's raw material purchases consisted of in-scope Chinese-origin “mother pipe.” Furthermore, in February 2023, TOP consumed [#] MT of [descript.] billets and [#] MT of mother pipe to manufacture OCTG that month.¹⁶⁹ In other words, approximately [#] percent of the OCTG that TOP manufactured that month used in-scope Chinese-origin “mother pipe.”

TOP described “mother pipe” as hollow pipe of various steel grades.¹⁷⁰ In the February 24 Determination, TRLED concluded that the “mother pipe” TOP imported from China “was OCTG in all but name and had the [descript.] outer diameter, wall thickness, and length as the OCTG it exported to the Importers,” and that “CBP's observations of mother pipes and pictures of TOP's mother pipes also reinforce that they are hollow and have a circular-cross section.”¹⁷¹

¹⁶⁵ See February 24 Determination (Public Version), at 52.

¹⁶⁶ See TOP RFI Response (Business Confidential Version), at Ex. 34 at Part 2, p. 265.

¹⁶⁷ See Verification Report (Business Confidential Version), at 20.

¹⁶⁸ See TOP RFI Response (Business Confidential Version), at Ex. 38 at Part 2, p. 283.

¹⁶⁹ See TOP RFI Response (Business Confidential Version), Ex. 37 at Part 2, p. 281.

¹⁷⁰ See TOP Supplemental RFI Response (Sept. 10, 2024) (Business Confidential Version), at 8; Verification Report (Business Confidential Version), at 20.

¹⁷¹ February 24 Determination (Public Version), at 7–8.

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TOP provided numerous documents that denote its purchase and importation of “mother pipe” from China, including [description of documents].¹⁷²

The scope language of the AD/CVD Orders clearly defines OCTG as “hollow steel products of circular cross-section,” whether finished or unfinished, thus matching TOP’s description of “mother pipe.”¹⁷³ Further, as discussed above, the AD/CVD Orders cover finished and unfinished Chinese “hollow steel products of circular cross-section,” such as the “mother pipe” TOP imported from China.¹⁷⁴ Based on this plain language, any finishing performed by TOP in Thailand of the Chinese-origin “mother pipe” does not remove those materials from the scope of the AD/CVD Orders.¹⁷⁵ Accordingly, the finished OCTG that contained Chinese “mother pipe,” which Energy Pipe, Kana, and Trek Metals imported into the United States are “covered merchandise.”

Second, contrary to Energy Pipe’s and Trek Metals’ arguments,¹⁷⁶ the administrative record does not contain sufficient information that would allow CBP to trace whether each specific order of finished OCTG that TOP produced for Energy Pipe and Trek Metals used [descript.] billets instead of in-scope “mother pipe.” During verification, TRLED identified 30 steps that are required to manufacture finished OCTG from [descript.] billets.¹⁷⁷ The production documents that TOP provided, however, correspond to only a handful of those steps and contain numerous discrepancies.¹⁷⁸ Specifically, TOP provided documents that reflect only step 1 ([description]), step 6 ([description]), step 16 ([description]), and step 20 ([description]) of the OCTG manufacturing process.¹⁷⁹ Most notably, TOP did not provide documentation regarding [description of a production step] or the steps regarding [description of production steps].¹⁸⁰ Without a document showing that a [descript. of step] occurred, it is impossible to confirm whether TOP used [description of inputs] to produce finished OCTG to fulfill particular purchase orders.

Additionally, Energy Pipe’s and Trek Metals’ arguments that CBP should trace whether TOP used “mother pipe” or [descript.] billets to produce finished OCTG would necessitate an entry-by-entry review of their entries to determine which specific entries contained covered

¹⁷² See February 24 Determination (Business Confidential Version), at 7 (citing TOP RFI Response (Jul. 9, 2024) (Business Confidential Version), at Exs. 38 and 51, pp. 10–11, 1352–53, 1368, 1394–95, 1401, 1450, 3768–69); see also TOP RFI Response (Confidential Version), at Part 2, p. 283; TOP Supplemental RFI Response (Sept. 10, 2024) (Business Confidential Version), at 8.

¹⁷³ 75 Fed. Reg. at 3,203–04; 75 Fed. Reg. at 28,553; see also *supra* 19 (analyzing the plain scope language).

¹⁷⁴ See *supra* at 19–20.

¹⁷⁵ See *id.* at 19–20; see also generally *Bell Supply Co., LLC*, 348 F. Supp. 3d 1281 (affirming Commerce’s scope ruling to include seamless unfinished OCTG and green pipes produced in China and finished in third countries as in-scope merchandise subject to the AD/CVD Orders).

¹⁷⁶ See Energy Pipe’s Administrative Review Request (Public Version), at 17–22; see also Trek Metals’ Administrative Review Request (Business Confidential Version), at 12–13, 18.

¹⁷⁷ See Verification Report (Business Confidential Version), at 20.

¹⁷⁸ See TOP Verification Exhibits (Business Confidential Version), at Ex. 23.

¹⁷⁹ See *id.*; see also Verification Report (Business Confidential Version), at 21–22.

¹⁸⁰ See TOP Verification Exhibits (Business Confidential Version), at Ex. 23; February 24 Determination (Business Confidential Version), at 8 (stating “[description of production step] and so TOP’s imported mother pipe would have been [descript.] in China.”) (citing Verification Report (Business Confidential Version), at 21).

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merchandise. The issue of entry-by-entry duty assignment is not the proper subject of an EAPA administrative review as to whether substantial evidence of evasion exists, which is the situation here. As the CIT has recognized, CBP is not required to conduct an entry-by-entry review to determine whether evasion has occurred within the meaning of the EAPA statute.¹⁸¹ Rather, CBP must determine whether there is substantial evidence within the administrative record, as a whole, that evasion has occurred.¹⁸² As detailed above, a review of the record establishes that, by TOP's own admission, [# range] percent of TOP's OCTG were produced from "mother pipe" during the POI, which is covered merchandise.¹⁸³ If, indeed, some entries are ultimately proven not to contain subject merchandise, as the CIT has explained, the proper recourse to challenge CBP's assignment of duties on an entry-by-entry basis is via a protest pursuant to 19 U.S.C. § 1514, after review of the determination of evasion is completed.¹⁸⁴ Moreover, it is the responsibility of the importer to provide to CBP sufficient documentation to support the importer's claims. Thus, to the extent that Energy Pipe and Trek Metals claim that some of their entries do not contain subject merchandise because they were made from [description] billets, the burden would be on Energy Pipe and Trek Metals to provide the tracing documentation, rather than on CBP.

Therefore, RR concludes that there is substantial evidence that the "mother pipe" from China and the finished OCTG produced therefrom by TOP in Thailand and subsequently shipped to the United States and imported by Energy Pipe, Kana and Trek Metals are covered by the scope of the AD/CVD Orders.

C. There is substantial record evidence that Centric Pipe, Energy Pipe, Kana, LE Commodities, Trek Metals, and TSPGA entered covered merchandise by evasion.

The record evidence shows that Centric Pipe, Energy Pipe, Kana, LE Commodities, Trek Metals, and TSPGA entered covered merchandise by means of material and false documents or electronically transmitted data or information, written statements, or material omissions that resulted in AD/CVD cash deposits not being applied with respect to the covered merchandise. The merchandise was entered falsely on type "01" consumption entries instead of on type "03" AD/CVD entries.¹⁸⁵ These constitute false statements that are also material because the

¹⁸¹ See *Ikadan*, 639 F. Supp. 3d at 1354.

¹⁸² See 19 U.S.C. § 1517(f)(1); 19 C.F.R. § 165.45.

¹⁸³ See Verification Report (Business Confidential Version), at 20.

¹⁸⁴ See *Ikadan*, 639 F. Supp. 3d at 1354.

¹⁸⁵ See February 24 Determination (Public Version), at 66; Centric Pipe RFI Response (Jul. 9, 2024) (Business Confidential Version), at Ex. V-18(a) at Part 1, p. 358, Ex. V-18(b) at Part 1, p. 369, Ex. V-18-(c) at Part 2, p. 19, Ex. V-18(d) at Part 3, p. 15, Ex. V-18(e) at Part 4, p. 25, Ex. V-18(f) at Part 4, p. 35, Ex. V-18(g) at Part 5, p. 31, Ex. V-18(i) at Part 5, p. 78, Ex. V-18(h) at Part 5, p. 68, Ex. V-18(j) at Part 6, p. 31; TSPGA RFI Response (Jul. 5, 2024) (Business Confidential Version), at Ex. V-18, pp. 1016, 1328; LE Commodities RFI Response (Jul. 9, 2024) (Business Confidential Version), at Ex. V-18a, p. 318, Ex. V-18b, p. 381, Ex. V-18c, p. 419, Ex. V-18d, p. 444, Ex. V-18e, p. 475, Ex. V-18f, p. 516, Ex. V-18g, p. 541, Ex. V-18g, p. 574, Ex. V-18h, p. 602, Ex. V-18i, p. 683; Energy Pipe RFI Response (Jun. 28, 2024) (Business Confidential Version), at Ex. 89, p. 10, Ex. 97, p. 10, Ex. 105, p. 17; Energy Pipe RFI Response (Jul. 9, 2024) (Business Confidential Version), at Ex. 131, p. 64, Ex. 133, p. 17, Ex. 135, p. 37, Ex. 137, p. 401, Ex. 139, p. 268; Kana RFI Response (Jul. 16, 2024) (Business Confidential Version), at Ex. 14 at Part 1, p. 38, Ex. 14 at Part 2, p. 103, Ex. 14 at Part 3, p. 37, Ex. 14 at Part 4, p. 103, Ex. 14 at Part 5, p. 131,

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applicable cash deposits and antidumping and countervailing duties were not paid.¹⁸⁶ Centric Pipe, Energy Pipe, Kana, LE Commodities, Trek Metals, and TSPGA also omitted Case Nos. A-570-943 and C-570-944 from the entry summary documentation.¹⁸⁷ The omission of Case Nos. A-570-943 and C-570-944 from the entry summary documentation is material because it interfered with the government's ability to accurately track imports of OCTG from China, to collect the applicable antidumping and countervailing duties due, and to determine and assess future antidumping and countervailing duties.

Therefore, RR concludes that there is substantial evidence that Centric Pipe, Energy Pipe, Kana, LE Commodities, Trek Metals, and TSPGA entered covered merchandise through evasion.

D. The Importers' other claims lack merit.

First, in response to Centric Pipe's and Trek Metals' argument regarding the sufficiency of the allegations for purposes of initiating an EAPA investigation, we note that it is not RR's role to review whether an EAPA investigation was properly initiated. RR's role, as set forth in the statute and regulations, is to review TRLED's final determination. That said, RR is of the view that the facts provided by USOMA in the allegations reasonably suggested the likelihood of evasion as required by 19 C.F.R. § 165.15(b)(2). The administrative record shows that the allegations included the following evidence of evasion: PET's production line was allegedly not assembled; PET's API license was deactivated before its expiration date; [information] that Thai companies transship Chinese merchandise; TOP was Chinese-owned and affiliated with its Chinese OCTG suppliers; TOP exported more OCTG to the United States in 2023 than it was purportedly able to produce; and [information] with allegations of transshipment pertaining to TOP and PET.¹⁸⁸ Such evidence meets the low threshold necessary for reasonable suspicion of

Ex. 14 at Part 6, p. 150, Ex. 14 at Part 7, p. 341; Trek Metals RFI Response (Jul. 4, 2024) (Business Confidential Version), at Part V. Q-18 Entry 1-7 9-11, pp. 2-5, 40, 66, 384, 564, 863, 955.

¹⁸⁶ See February 24 Determination (Public Version), at 58 (stating that "evasion occurs where a material false statement or omission is made that results in the applicable AD/CVD duties not being paid.").

¹⁸⁷ See Centric Pipe RFI Response (Business Confidential Version), at Ex. V-18(a) at Part 1, p. 358, Ex. V-18(b) at Part 1, p. 369, Ex. V-18(c) at Part 2, p. 19, Ex. V-18(d) at Part 3, p. 15, Ex. V-18(e) at Part 4, p. 25, Ex. V-18(f) at Part 4, p. 35, Ex. V-18(g) at Part 5, p. 31, Ex. V-18(i) at Part 5, p. 78, Ex. V-18(h) at Part 5, p. 68, Ex. V-18(j) at Part 6, p. 31; TSPGA RFI Response (Business Confidential Version), at Ex. V-18, pp. 1016, 1328; LE Commodities RFI Response (Business Confidential Version), at Ex. V-18a, p. 318, Ex. V-18b, p. 381, Ex. V-18c, p. 419, Ex. V-18d, p. 444, Ex. V-18e, p. 475, Ex. V-18f, p. 516, Ex. V-18g, p. 541, Ex. V-18h, p. 574, Ex. V-18i, p. 602, Ex. V-18j, p. 683; Energy Pipe RFI Response (Business Confidential Version), at Ex. 89, p. 10, Ex. 97, p. 10, Ex. 105, p. 17; Energy Pipe RFI Response (Business Confidential Version), at Ex. 131, p. 64, Ex. 133, p. 17, Ex. 135, p. 37, Ex. 137, p. 401, Ex. 139, p. 268; Kana RFI Response (Business Confidential Version), at Ex. 14 at Part 1, p. 38, Ex. 14 at Part 2, p. 103, Ex. 14 at Part 3, p. 37, Ex. 14 at Part 4, p. 103, Ex. 14 at Part 5, p. 131, Ex. 14 at Part 6, p. 150, Ex. 14 at Part 7, p. 341; Trek Metals RFI Response (Business Confidential Version), at Part V. Q-18 Entry 1-7 9-11, pp. 2-5, 40, 66, 384, 564, 863, 955.

¹⁸⁸ See Notice of Initiation (Business Confidential Version), at 3, 7-8, 10, 16.

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evasion to warrant initiation.¹⁸⁹ Furthermore, the detracting facts Centric Pipe alleges were not even placed on the record until November 10, 2024, well after the investigation was initiated.¹⁹⁰

Second, contrary to the argument raised by all of the Importers that requested administrative review, the sample production of OCTG from [description] billets by PET and TOP during the verification merely demonstrates the capability of both facilities to manufacture OCTG from [description] billets. Regardless of such capability, as discussed above, both PET and TOP used covered merchandise, in the form of Chinese-origin hollow steel billets and mother pipe, respectively, to produce the vast majority of the OCTG that were imported by the Importers into the United States.

Third, Centric Pipe's, Energy Pipe's, Kana's, LE Commodities', and TSPGA's claim that the EAPA statute requires intent or culpability lacks merit. The statute requires only that there be a material false statement, document or omission, which led to the non-payment or underpayment of antidumping and/or countervailing duties. The CIT has held that "EAPA read as a whole supports CBP's strict liability interpretation of the definition of evasion."¹⁹¹ For the same reason, whether Centric Pipe, Energy Pipe, Kana, LE Commodities, or TSPGA exercised reasonable care is immaterial to a finding of substantial evidence of evasion under 19 U.S.C. § 1517.

Fourth, contrary to Energy Pipe's and Kana's assertions, the situation present in the instant review is distinguishable from the facts underlying *Diamond Tools II*.¹⁹² In *Diamond Tools II*, the importer relied on Commerce's "clear and specific instructions — including Commerce's explicit rejection of petitioner's circumvention concerns" — from the original investigation determination.¹⁹³ By contrast, here, the Importers could not and did not rely on any previous "clear and specific" instructions issued by Commerce regarding the country of origin of merchandise.

Fifth, contrary to Centric Pipe's position, it was not necessary for CBP to direct a covered merchandise referral to Commerce because "hollow billets" and "mother pipe" are clearly within the plain scope language of the AD/CVD Orders. CBP was (and remains) able to review the language of the AD/CVD Orders, analyze the nature of the merchandise, and reach an independent conclusion as to whether the merchandise at issue constituted covered merchandise.¹⁹⁴ As the CIT recently confirmed, 19 U.S.C. § 1517(b)(4)(A):

does not place on Customs an obligation to refer the matter to Commerce wherever an interested party posits that merchandise subject to an EAPA

¹⁸⁹ See, e.g., *Leco Supply, Inv.*, 619 F. Supp. 3d at 1296 (Ct. Int'l Trade 2023); *CEK Grp.*, 633 F. Supp. 3d at 1374–75; *Am. Pac. Plywood, Inc. & LB Wood Cambodia Co., Ltd.*, 2023 WL 4288346, at *8. See also 19 C.F.R. § 165.15(b)(2).

¹⁹⁰ See Centric Pipe's Administrative Review Request (Public Version), at 6 (citing PET Verification Exhibits (Nov. 10, 2024) (Business Confidential Version), at Exs. 1–28, p. 390).

¹⁹¹ *Ikadan*, 639 F. Supp. 3d at 1349.

¹⁹² See Kana's Request for Administrative Review (Public Version), at 17.

¹⁹³ *Diamond Tools II*, 609 F. Supp. 3d at 1387–88, 1391.

¹⁹⁴ See *Sunpreme, Inc. v. United States*, 946 F.3d 1300, 1317 (Fed. Cir. 2020) ("While Customs may not expand or alter the scope of such orders, its authority and responsibility to determine whether they apply does not dissipate simply because an order lacks perfect clarity.").

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investigation falls outside the scope of an existing AD or CVD Order. To the contrary, the statute and Customs’ regulations require that Customs refer a scope issue to Commerce *only where Customs “is unable to determine whether the merchandise at issue is covered merchandise.”*¹⁹⁵

Here, the plain scope language is clear and, therefore, CBP did not need to direct a covered merchandise referral to Commerce.

Sixth, Energy Pipe’s and Trek Metals’ assertion that TRLED relied on [document] to find evasion but failed to place the document on the record is incorrect.¹⁹⁶ The administrative record is complete. That [document] was placed on the record by TRLED on May 22, 2024.¹⁹⁷

Finally, as first stated in the February 24 Determination¹⁹⁸ and as detailed throughout this determination, the administrative record contains substantial evidence of evasion. Therefore, the use of adverse inferences is unnecessary to find substantial evidence of evasion in this case, and RR relies herein solely on the record and not on adverse inferences.

Regardless, Energy Pipe’s and Trek Metals’ argument that a cooperating party should not be negatively affected by the application of adverse inferences against another party fails. The EAPA statute and the regulations promulgated thereunder do not require CBP to ensure that a cooperative party will not experience collateral consequences for another party’s failure to cooperate.¹⁹⁹ To the contrary, the CIT held that the EAPA statute “permits Customs to draw an adverse inference against a non-cooperating party ‘without regard to whether another person involved in the same transaction or transactions under examination has provided the information sought.’”²⁰⁰ In that case, the CIT also upheld the “collateral consequences” to an importer that resulted from CBP’s proper application of adverse inferences to a non-cooperating manufacturer, where the importer did not provide any information that would lessen the impact of the adverse inferences.²⁰¹

¹⁹⁵ *Vanguard Trading Co. LLC v. United States*, Ct. No. 2023-00253, 2025 Ct. Intl. Trade LEXIS 66, at **23–24 (Ct. Int’l Trade May 19, 2025) (emphasis added) (quoting 19 U.S.C. § 1517(b)(4)(A); 19 C.F.R. § 165.16(a)); *see also Ikadan*, 639 F. Supp. 3d at 1352 (same).

¹⁹⁶ *See* Energy Pipe’s Administrative Review Request (Business Confidential Version), at 28.

¹⁹⁷ *See* Adding Information to the Administrative Record of EAPA 7890 (May 22, 2024) (Business Confidential Version), at Attach. 2.

¹⁹⁸ *See* February 24 Determination (Business Confidential Version), at 35–43.

¹⁹⁹ *See generally* 19 U.S.C. § 1517(c); 19 C.F.R. §§ 165.5–165.6.

²⁰⁰ *Skyview Cabinet USA, Inc.*, 2023 Ct. Intl. Trade LEXIS 95, at *28 (quoting 19 U.S.C. § 1517(c)(3)(B)).

²⁰¹ *Id.* at *31.

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IV. Decision

Based upon our *de novo* review of the administrative record in this case, including the administrative review requests and response thereto, the February 24 Determination of evasion under 19 U.S.C. § 1517(c) is **AFFIRMED**.

This decision does not preclude CBP or other agencies from pursuing additional enforcement actions or penalties. Pursuant to 19 C.F.R. § 165.46(a), this final administrative determination is subject to judicial review pursuant to section 421 of TFTEA.

Sincerely,

JACINTO P
JUAREZ JR

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Jacinto P. Juarez, Jr.
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